# HOORVIA - POSITION SIZING CHART: PRINTABLE TRADING RISK & SIZE GUIDE

Quick Reference Cheat Sheet · US Letter Printable

**Tech & Software · Sheet #1**

| Step / Concept | Formula / Rule | Example | Why It Matters |
|---|---|---|---|
| **Risk per trade** | 1-2% of account | $10,000 account -> risk $100-200 | One loss never hurts |
| **Position size** | Risk $ ÷ (Entry - Stop) | $100 ÷ $2 = 50 shares | Sizes the trade to your risk |
| **Stop-loss distance** | Entry - Stop price | $50 entry, $48 stop = $2 risk/share | Defines the risk per share |
| **Risk-reward ratio** | Reward ÷ Risk | $4 reward / $2 risk = 2:1 | Only take 2:1 or better |
| **Max portfolio risk** | Total open risk <= 6% | 3 trades × 2% = 6% | Correlated losses add up |
| **Account risk cap** | Never risk > 2% on one trade | $100 max on a $5,000 account | Survival first |
| **Shares formula** | (Account × Risk%) ÷ Stop distance | ($10,000 × 1%) ÷ $2 = 50 shares | The core calculation |
| **Lot size (forex)** | Risk $ ÷ (pips × pip value) | $100 ÷ (50 pips × $1) = 0.02 lots | Same math, different units |
| **Kelly criterion** | f* = (bp - q) / b | Edge 55%, payoff 1:1 -> f* = 10% | Theoretical max, use half-Kelly |
| **Half-Kelly** | Bet half the Kelly size | 10% Kelly -> risk 5% | Cuts volatility sharply |
| **Volatility sizing** | Size by ATR (14-day) | Wider ATR -> smaller size | Volatile stocks need smaller size |
| **Rebalance** | Recalculate after every trade | New account size -> new risk $ | Keeps risk constant as you grow |